

FOUNDATIONS OF FINANCE

MAKE UP END TERM

Time Allowed: 60 minutes

Max. Marks 40 (TO BE SCALED OUT OF 10)

- This quiz consists of 20 MCQs of 2 marks each.
- You have to write the correct answer only in the response sheet
- 2 marks will be awarded for correct answer.

1. According to the capital asset pricing model, the cost of equity of a stock with a beta of 1.2 and a risk premium of 6.5 percent while return on the market portfolio is 11.5% is:
A. 7.0%.
B. 11.5%.
C. 12.5%.
D. 12.8%.
2. In the dividend discount model, all of the following factors influence an investor's required rate of return **EXCEPT**:
A. the return on assets.
B. the real risk-free rate.
C. the risk premium for stocks.
D. the expected rate of inflation.
3. You borrow Rs. 50,000 and will make month end monthly payments for 1 year at 12% p.a interest. How much will those payments be?
A. Rs. 4,442
B. Rs. 4,667
C. Rs. 4,398
D. Rs. 4,467
4. You have decided to buy a house after 10 years. You wish to accumulate Rs. 1,00,00,000/- for the same. You expect to earn 8% interest, compounded annually. For this you will have to save:
A. Rs. 7,23,434 every year
B. Rs. 6,90,293 every year
C. Rs. 8,25,363 every year
D. Rs. 6,85,432 every year
5. A company accrued wages of Rs5,000 and collected accounts receivable of Rs.7,000. Which of the following best describes the effect of these two transactions on the company?
A. Net income will increase
B. Current ratio will decrease
C. Cash from operations will decrease
D. Current ratio will increase
6. The following information (in Rs. crore) for two companies operating in the same industry during the same time period is available:

	Company A	Company B
Net Sales	240	600
Total Assets	140	280
Total Liabilities	50	80

If both companies achieve a return on equity of 15% for the period, which of the following statements is most likely correct? Compared to Company B, Company A has a:

- A. higher net profit margin.
- B. higher total asset turnover.
- C. lower financial leverage multiplier
- D. Insufficient Information

7. A firm has net sales of Rs.3,000, cash expenses (including taxes) of Rs.1,400, and depreciation of Rs.500. If accounts receivable increase in the period by Rs.400, cash flows from operations equal:
- Rs.1,200.
 - Rs.1,600.
 - Rs.1,700.
 - Rs.2,100.

For the next three questions use the following data:

Cash payment of interest	12
Repurchase (buy-back) of common stock (shares)	32
Cash payment to suppliers	85
Purchase of land	8
Sale of equipment (machines)	30
Payment of dividends	37
Cash payment of salaries	35
Cash collection from customers	260
Purchase of equipment	40

8. Cash flows from operating activities are:
- Rs.91.
 - Rs.128.
 - Rs.140.
 - Rs.175.
9. Cash flows from investing activities are:
- Rs.67.
 - Rs.48.
 - Rs.18.
 - Rs.10.
10. Cash flows from financing activities are:
- Rs.81.
 - Rs.69.
 - Rs.49.
 - Rs.37.
11. The following information applies to a company's preferred stock:
- Current price Rs47.00 per share
 - Par value Rs.50.00 per share
 - Annual dividend Rs.3.50 per share

If the company's marginal corporate tax rate is 34 percent, the after-tax cost of preferred stock is *closest* to:

- 4.62%.
- 4.91%.
- 7.00%.
- 7.45%.

12. What happens to a company's WACC if the company's tax rate increases and the central bank of the country increases the risk-free rate, respectively. (Consider the events independently and assume a beta of less than one.)

	Tax rate increase	Increase in risk free rate
A	Decrease WACC	Increase WACC
B	Decrease WACC	Decrease WACC
C	Increase WACC	Increase WACC
D	Increase WACC	Decrease WACC

13. When considering capital projects, which of the following statements is **most inaccurate**?

Compared to the NPV method, the IRR method:

- A. can result in multiple values.
- B. has the more appropriate reinvestment rate assumption.
- C. uses more accurate estimates of the project's cash flows

14. Following information (Rs. millions) about three companies operating in the same industry:

Company	Annual Depreciation Expense	Accumulated Depreciation
1	10	60
2	27	81
3	30	150
4	25	200

Although the companies have different levels of sales and assets, they are all experiencing sales growth at about the same rate and use the same type of equipment in the manufacturing process. All three companies also use the same depreciation method. Which company is *least likely* to require major capital expenditures in the near future? Company:

- A. 1.
 - B. 2.
 - C. 3.
 - D. 4.
15. TMC's common stock currently sells for Rs.45.00 per share, the company expects to earn Rs.2.75 per share during the current year, its expected payout ratio is 70%, and its expected constant growth rate is 6.00%. New stock can be sold to the public at the current price, but a flotation cost of 8% would be incurred. By how much would the cost of new stock exceed the cost of retained earnings?
- A. 0.37%
 - B. 0.45%
 - C. 0.39%
 - D. 0.08%

16. A company is considering building a distribution center on undeveloped land that it acquired more than ten years ago at a cost of \$400,000. The company estimates the cost of putting in utilities, sewers, roads and other such costs of preparing the land for the distribution center at \$200,000. Alternatively, the undeveloped land could be sold today to another company for \$600,000. In evaluating this capital project, the investment outlay associated with the use of the land by the distribution center will *most likely* be:
- \$400,000.
 - \$600,000.
 - \$800,000
 - \$200,000
17. Assuming current assets and current liabilities remain a constant proportion of sales (40 percent and 30 percent respectively), as sales grow 5 percent annually, through time the current ratio will *most likely*
- Increase
 - Decrease
 - Remains unchanged
 - May increase or decrease depending on the existing level
18. Following data about a company is given

Net profit margin	8.0%
Return on assets	10.0%
Financial leverage (total assets/equity)	2.5
Beta for the company's stock	1.5
Expected rate of return on the market index	10.0%
Risk-free rate of return	5.0%

If the company wants to achieve a growth rate of 15% without changing its capital structure or issuing new equity, the company's maximum dividend payout ratio (in %) is *closest* to:

- 25%
 - 40%
 - 60%
 - 50%
19. Following data is given for a company

Net profit margin	2%
Total assets	Rs.200 million
Total liabilities	Rs.120 million
Net income	Rs.10 million
Dividends paid on common stock	Rs.2 million

The company's estimated dividend growth rate (in %) is *closest* to:

- 8.0
 - 10.0
 - 12.5
 - 15.0
20. A company earned Rs.3 a share last year and just paid a dividend of Rs.2 a share. The company's dividends are expected to grow by 8 % annually for the next two years. An investor with an 11% required rate of return expects to sell the stock at Rs.75 two years from now. The maximum amount the investor should be willing to pay for this company's stock (in Rs.) today is *closest* to:
- 58.68.
 - 64.71.
 - 66.63
 - 68.34

RESPONSE SHEET

Name _____

Roll No.

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Ques No.	Response	Ques No.	Response
1		11.	
2		12.	
3		13.	
4		14.	
5		15	
6.		16.	
7.		17.	
8.		18.	
9.		19.	
10.		20.	